Timeline & Delay Analysis In Time Element Claims

Presented By Moderators:

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Time Element Coverage

- Business Interruption (BI)
- Off-Premises Business Interruption
  - Civil Authority
  - Ingress/Egress
  - Power and Service Interruption
- Extra Expense (EE)
- Construction-Related Time Element
  - Delay in Completion (DIC)
  - Delay in Opening (DIO)
  - Delay in Start-Up (DSU)
  - Advance Loss of Profits (ALOP)
  - Soft Costs

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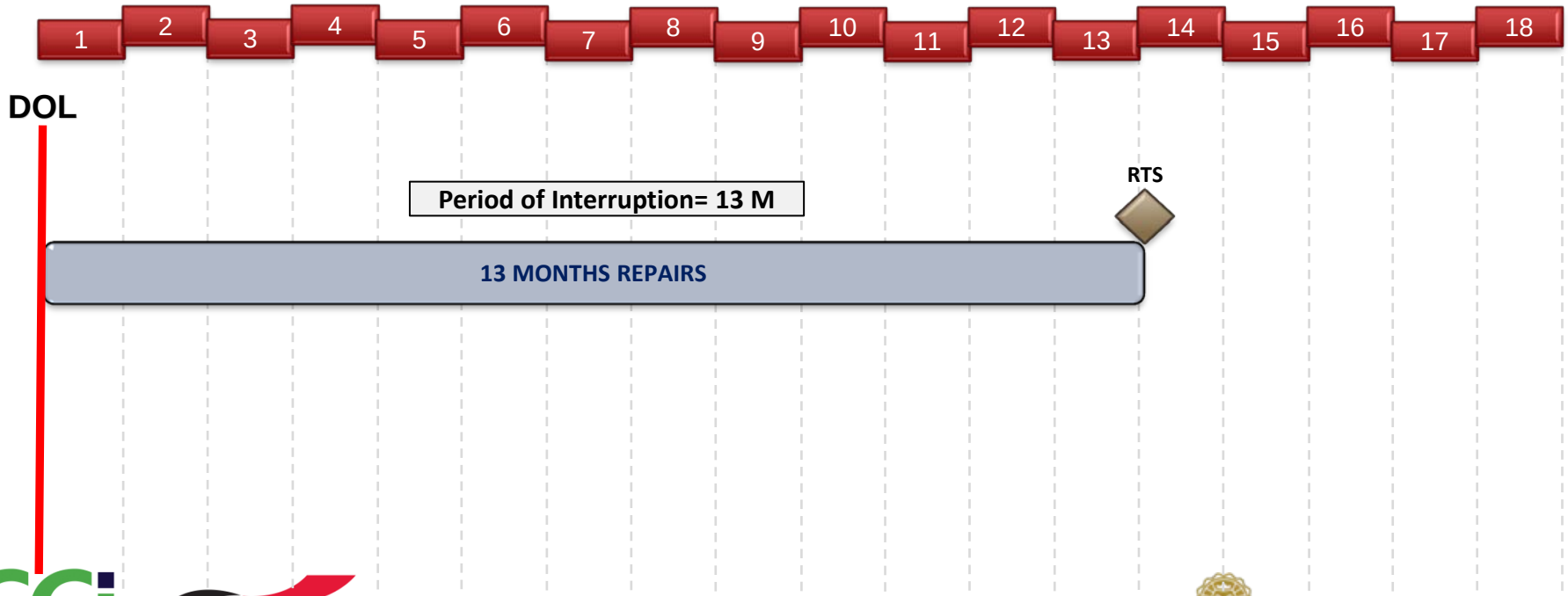
Importance Of Timeline Analysis

"The loss of profit resulting from an interruption of the business insured, but not exceeding such time as would be required with the exercise of **due diligence and dispatch** to repair the property to the condition to which it existed prior to the loss"



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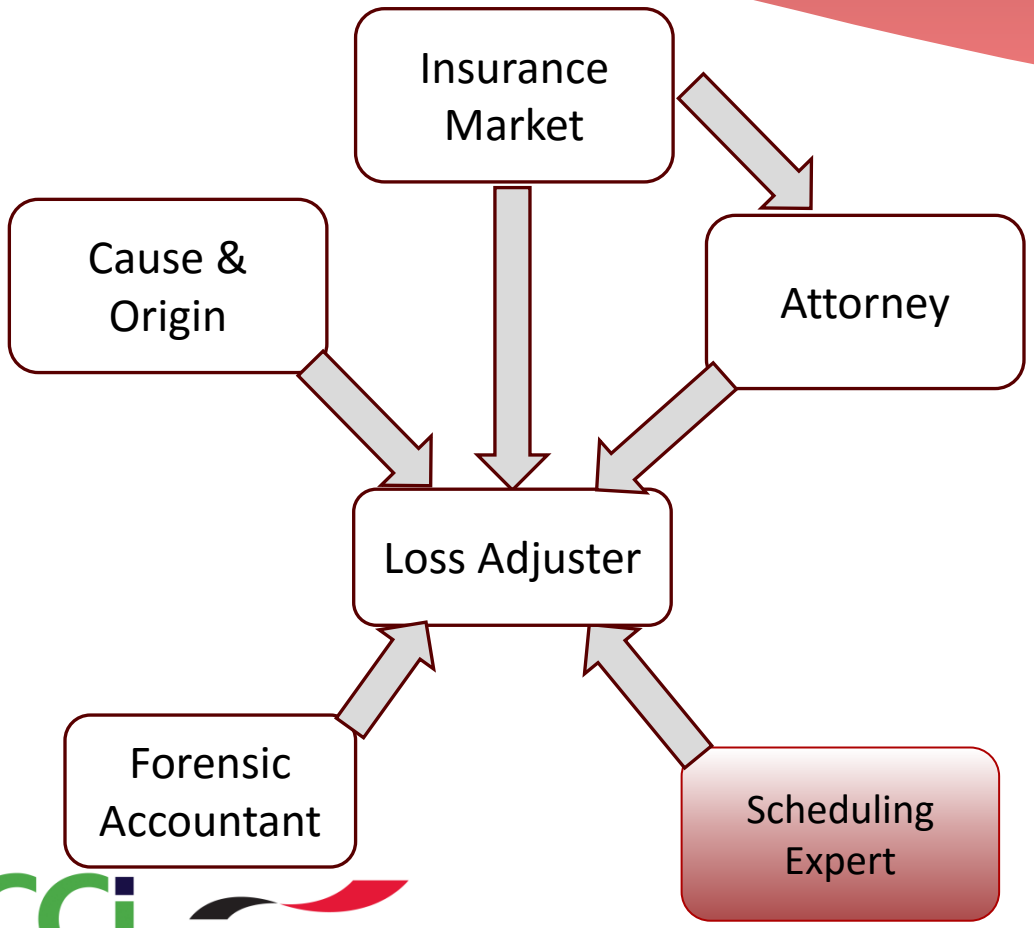
The Role Of A Scheduling Expert In Forensic Timeline Analysis



- To assist the loss adjuster in measuring delay relating to the claimed loss
- Analyze schedules, progress reports and other construction and repair-related documents

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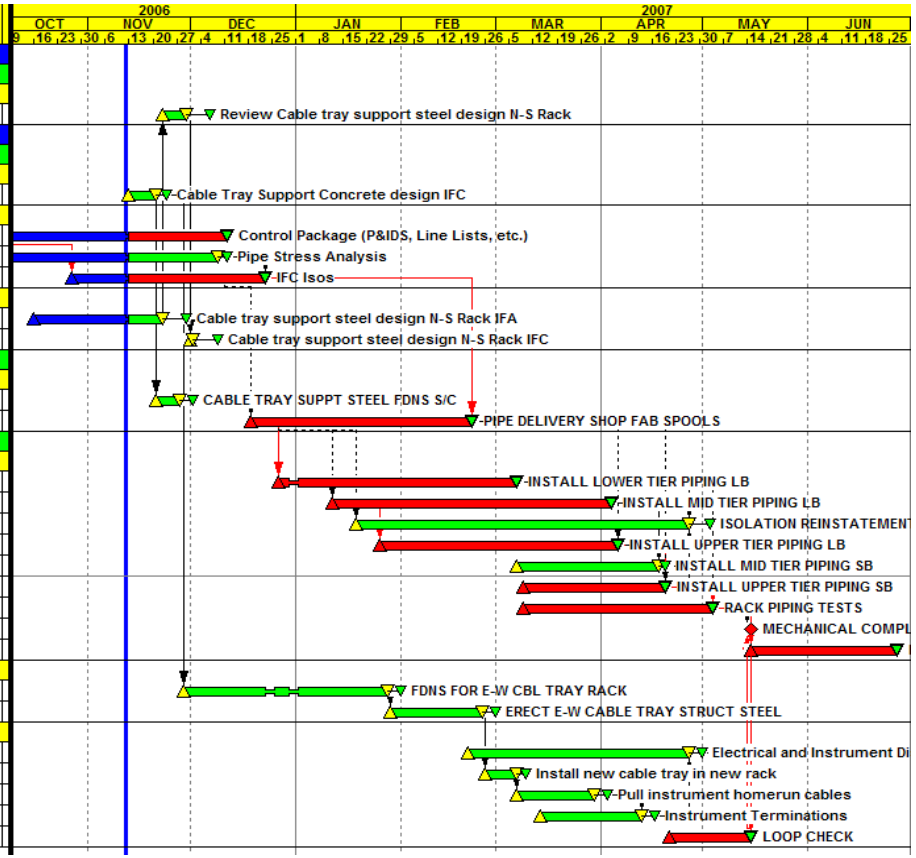
Insured's Evidence Of Claimed Delay Period

The Project Schedule!

Activity ID	Activity Description	Orig Dur	Rem Dur	%	Early Start	Total Float	Early Finish
Huntsman							
Engineering							
Misc or Multiple areas							
RB1620E10	Review Cable tray support	5	5	0	23NOV06	5	29NOV06
Shaw - Rebuild							
Engineering							
Piperack							
RB1700E	Cable Tray Support Concrete	6	6	0	13NOV06	3	20NOV06
Misc or Multiple areas							
RB660 E	Control Package (P&IDS, Line	51	21	40	01SEP06A	0	11DEC06
RB960 E	Pipe Stress Analysis	40	20	35	29SEP06A	1	08DEC06
RB750 E	IFC Isos	35	30	52	27OCT06A	0	22DEC06
RB1740E40	Cable tray support steel design	1	8	60	16OCT06A	5	22NOV06
RB1740E30	Cable tray support steel design	1	1	0	01DEC06	5	01DEC06
Procurement							
Misc or Multiple areas							
RB1405E	CABLE TRAY SUPPT STEEL	5	5	0	21NOV06	4	27NOV06
RB2140E	PIPE DELIVERY SHOP FAB	47	47	0	19DEC06	0	21FEB07
Construction							
Piperack							
RB1020	INSTALL LOWER TIER PIPING	58	58	0	27DEC06	0	06MAR07
RB1030	INSTALL MID TIER PIPING LB	70	70	0	12JAN07	0	03APR07
RB1130	ISOLATION REINSTATEMENT	84	84	0	19JAN07	5	26APR07
RB1040	INSTALL UPPER TIER PIPING LB	60	60	0	26JAN07	0	05APR07
RB1210	INSTALL MID TIER PIPING SB	36	36	0	07MAR07	2	17APR07
RB1250	INSTALL UPPER TIER PIPING SB	36	36	0	09MAR07	0	19APR07
RB380	RACK PIPING TESTS	48	48	0	09MAR07	0	03MAY07
RB1100	MECHANICAL COMPLETION	0	0	0		0	14MAY07
RB1750	DRYOUT & COMMISSIONING	37	37	0	15MAY07	0	26JUN07
Cable Tray Rack							
RB190	FDNS FOR E-W CBL TRAY	48	48	0	29NOV06	3	27JAN07
RB250	ERECT E-W CABLE TRAY	24	24	0	29JAN07	3	24FEB07
I & E							
RB2560E10	Electrical and Instrument	56	56	0	21FEB07	3	26APR07
RB2390E10	Install new cable tray in new	8	8	0	26FEB07	3	06MAR07
RB2500E	Pull instrument homerun cables	20	20	0	07MAR07	3	29MAR07
RB2520E	Instrument Terminations	26	26	0	14MAR07	3	12APR07
RB1870E	LOOP CHECK	20	20	0	21APR07	0	14MAY07



Schedule analysis requires specialized software and experience to understand how the schedule has been manipulated and the factors impacting the schedule

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Measuring The Period Of Indemnity/Period Of Restoration/Delays

QUESTIONS TO ASK/ISSUES TO LOOK FOR:

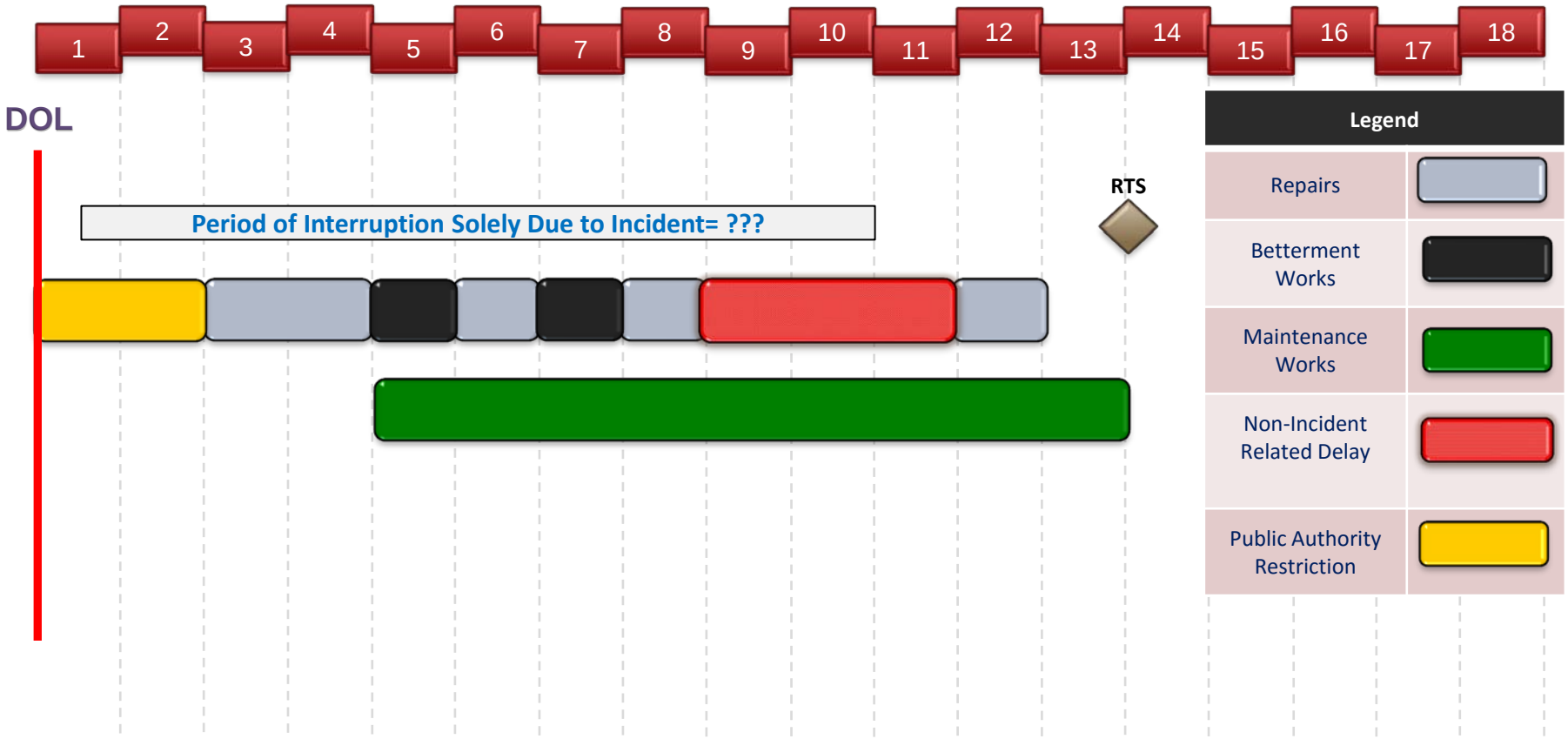
1. How long should it take to complete repairs with due diligence and dispatch?
2. Have there been delays due to non-covered events/factors?
3. How do you account for the non-covered events?
4. When does the period of interruption end?
5. Voluntary betterment works or improvements to the project
   - As most policies require replacement of "similar quality," the end/completion date for coverage purposes might be earlier than the actual end/completion date. *Amerisure Ins. Co. v. Roll Serv., Inc.*, 2002 WL 31101269, at *2, *5 (N.D. Ill. 2002).

Measuring The Period Of Indemnity/Period Of Restoration/Delays

QUESTIONS TO ASK/ISSUES TO LOOK FOR:

5. Betterment works or improvements undertaken in outage period?
6. Maintenance works brought forward into outage?
7. Code upgrades?
8. Delays from lack of access or caused by a civil authority? OSHA shutout?
9. Funding issues?
10. Redesign/correction of defects?
11. Delivery of materials or other efficiency issue

Time Element Measurement – In Practice



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Case Study

Grain Processing Plant

1970'S CONSTRUCTION

Case Study
Grain Processing Plant

Explosion and subsequent fire causes forced outage at the plant and repairs are required to bring the plant back into operation

Case Study: Grain Processing Plant

KEY FACTS:

- Explosion & subsequent fire causes forced outage at plant
- Human injury caused by loss -- OSHA assumes control of site
- Expansion facility is being built at the plant which was originally planned to come online 4 months after the date of loss
- Before damage assessment is complete the insured decided to rebuild the damaged plant in different configuration with numerous upgrades (code and equipment)
- Insured states it expects plant to be operational in 8 months
- While removing equipment damaged by loss, crane tips over and damages area of the plant not damaged by the fire
- Planned maintenance of areas not impacted by the loss is brought forward into the outage period
- Plant returns to production 12 months after date of loss
- Claim from insured is for costs incurred to rebuild plant and BI for 12 months, including 8 months of lost production for Expansion Project

Case Study
Grain Processing Plant

DISCUSSION – REPAIRS:

1. OSHA & subrogation impact?
2. Decision of insured to rebuild of plant in different configuration with potential upgrades?
3. Timeline analysis – critical path
4. Crane collapse
5. Planned maintenance brought forward and carried out alongside repairs
6. Delays to repair works

Case Study

Grain Processing Plant

EXPANSION PROJECT LIKELY ISSUES:

- Is the Expansion Project (EP) delayed by the fire?
- If so, is any delay to construction caused by fire covered under production policy?
- Does the EP come on the risk when ready?
- When is the EP actually ready to begin commissioning?
- Any delays to the contract works of the EP that are non-loss related?
- How do you measure BI as no record of this unit ever producing? Will they be able to sell all they produce immediately?

Case Study: Grain Processing Plant

KEY FACTS:

- Did insured repair as-was, where-was best that was possible?
- If not what needs to be done to determine measured covered loss?
- Did OSHA impact time of repair?
- Critical path of current repair project – long lead equipment or damage assessment, design and repair?

Case Study: Grain Processing Plant

KEY FACTS (continued):

- Crane falling over – separate loss? Policy period? Deductible?
- Did the maintenance construction activities impact the period of interruption?
- Can a credit be taken for the downtime when maintenance originally planned to be completed?
- Did the upgrade works prolong the duration of the repairs?
- Exercising due diligence and dispatch what is a reasonable time for the repairs to take?

Adjustment Summary Checklist

COVERAGE ISSUES:

- Complete copy of policy with all endorsements and declaration pages
- Confirm policy period and covered property/locations
- Review covered and excluded perils
- If applicable, pay close attention to causation language with regard to multiple perils
- Time Element Coverage
  - BI and EE definitions
  - Period of Indemnity/Restoration and any extensions (ramp up?)
- Coinsurance, deductibles, waiting periods and limits
- Other issues

Adjustment Summary Checklist

LOSS INVESTIGATION:

- Document Insured's version of events
- Date and time of occurrence
- What is damaged? Extent of damage? Document with photographs and inspection
- Prior damage or wear and tear?
- Cost to repair
- Number of events/occurrences
- Potential causes of damage
- If construction in progress prior to loss, identify any delays prior to loss.
- Potential causes of interruption or suspension of operations
- Code issues (Pre-existing? Related to repair of damage?)
- Timeline for repairs and/or to restore operations
- Potential ways for insured to mitigate loss (inventory, accelerating repairs, other locations, etc.)
- Other issues

Adjustment Summary Checklist

REQUEST DOCUMENTS:

- Photographs, estimates, correspondence, and other documentation of loss or damage
- Financial records
- Construction Records
- Electronic Schedules
- Other records

Questions & Comments

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